BITMACH

DIGITAL | ENERGY | POWER | INFRASTRUCTURE

INVESTOR MEMORANDUM

Infrastructure Investment Proposal

CONFIDENTIAL

CONTENTS

1. Executive Summary pg 3
2. Market Context: Energy, AI and Infrastructure Convergence pg 4
3. The Core Problem pg 5
4. BitMach Solution pg 5
5. Asset Model pg 6
6. Revenue Model (Illustrative) pg 7
7. Risk Management and Downside Protection pg 8
8. Capital Structure pg 9
9. Deployment Pipeline pg 9
10. Why Infrastructure Capital Engages Now pg 9
11. Strategic Context: Infrastructure Evolution pg 10
12. Why BitMach pg 10
13. Investment Proposition pg 11
14. Closing Statement pg 11

1. EXECUTIVE SUMMARY

BitMach is an energy infrastructure platform that converts constrained, underutilised, and distributed electricity into immediately yielding economic output.

The company deploys flexible, high-density compute infrastructure at energy nodes to:

- Stabilise grid conditions
- Monetise surplus and stranded energy
- Enable renewable integration
- Generate real-time, observable cashflows

Unlike traditional infrastructure assets, BitMach deployments begin generating revenue within weeks of commissioning, with continuous performance visibility.

BitMach is currently developing multiple deployments in South Africa, including:

- Eskom-linked sites (e.g. Grootvlei)
- Industrial energy hubs (e.g. Vanderbijlpark)
- Renewable-integrated systems

INVESTMENT OPPORTUNITY

BitMach is seeking infrastructure capital to fund initial deployment tranches (10–50MW per site) via ring-fenced project vehicles.

Each investment corresponds to:

- Defined energy access (MW capacity)
- Dedicated infrastructure deployment
- Immediate revenue generation post-commissioning
- Scalable expansion pathways

2. MARKET CONTEXT:

Energy, AI and Infrastructure Convergence

2.1 Power is the Constraint

Global infrastructure markets are undergoing a structural shift:

- Hyperscalers are deploying hundreds of billions into AI infrastructure
- Data centres are pre-leased before construction
- Interconnection timelines extend to 2030+ in many markets

The primary constraint is no longer capital or demand:

The constraint is power availability and delivery.

2.2 South Africa's Strategic Position

South Africa presents a unique convergence:

- ~350MW of installed data centre capacity
- ~1% of global AI-capable infrastructure
- Rapid expansion of renewable generation
- Increasing adoption of energy wheeling and trading
- Grid constraints and transmission bottlenecks

At the same time:

- Data centres are now designated as critical infrastructure
- Eskom is investing heavily in grid expansion, digitalisation and flexibility
- The electricity market is liberalising

2.3 Structural Imbalance

The system is evolving toward:

- Distributed generation
- Variable renewable supply
- Market-based electricity trading

However, the grid lacks sufficient mechanisms to:

- Balance supply and demand in real time
- Absorb excess generation
- Manage volatility efficiently

3. THE CORE PROBLEM

This structural imbalance leads to:

- Curtailment of renewable energy
- Underutilised generation assets
- Grid congestion
- Increased system instability

At the same time:

- New demand (AI, data centres, industry) requires stable, high-density power
- Traditional infrastructure takes 3–5 years to deploy

> Energy exists, but it is not always usable when and where it is needed.

4. BITMACH SOLUTION

BitMach introduces a **flexible demand layer** that converts electricity into economic output in real time.

4.1 Core Function

BitMach deployments:

- Consume power when it is available or underutilised
- Reduce or curtail load during grid stress
- Provide continuous, responsive demand

4.2 System Role

Each deployment functions as:

- Demand response infrastructure
- Grid stabilisation mechanism
- Energy monetisation layer

4.3 Revenue Generation

Electricity is converted into economic output via high-density compute.

Revenue is driven by:

- Energy availability
- Compute utilisation
- Market-based pricing dynamics

> Electricity is transformed into a continuous, monetised output stream.

5. ASSET MODEL

5.1 Project-Based Structure

Each deployment is structured as a **ring-fenced SPV:**

- Defined MW capacity
- Dedicated infrastructure
- Isolated financial performance
- Independent capital structuring

5.2 Investment Unit

Each MW deployed represents:

- A measurable infrastructure asset
- A defined capital cost
- A predictable operational profile
- A revenue-generating unit

5.3 Deployment Characteristics

Metric: Time to deploy
Bitmach: Weeks to months

Metric: Time to revenue
Bitmach: Immediate post-commissioning

Metric: Revenue visibility
Bitmach: Real-time

Metric: Scalability
Bitmach: Modular and phased

Metric: Demand profile
Bitmach: Flexible

6. REVENUE MODEL (ILLUSTRATIVE)

Revenue per MW is driven by:

- Energy input cost
- Compute output value
- Operational uptime

Illustrative Unit Economics (Directional)

- Capex per MW: defined at project level
- Revenue per MW: variable, linked to energy and compute markets
- Margin profile: driven by energy cost efficiency and utilisation

Detailed financial models are provided at project level.

7. RISK MANAGEMENT AND DOWNSIDE PROTECTION

BitMach deployments are designed to align with infrastructure risk profiles.

7.1 Flexible Demand

- Load can be reduced or curtailed
- Participation in demand response environments
- Reduced exposure to fixed demand obligations

7.2 Variable Cost Base

- Energy is a primary variable cost
- Margin adjusts dynamically with market conditions

7.3 Phased Deployment

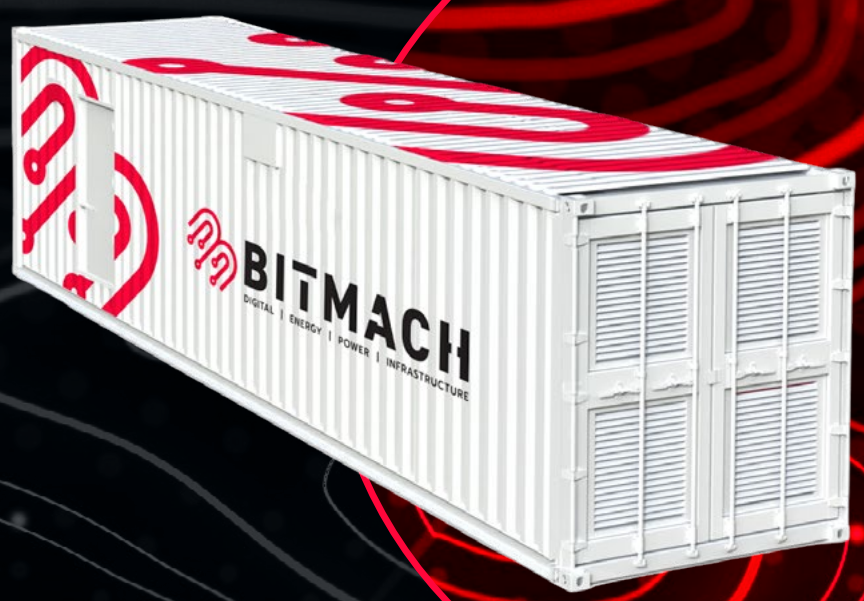
- Capital deployed incrementally
- Early performance informs scaling decisions

7.4 Real-Time Performance Visibility

- Continuous monitoring of output
- Immediate detection of operational deviations

7.5 Optionality of Compute Layer

- Infrastructure stack compatible with broader high-performance compute workloads
- Potential to support evolving compute markets over time



8. CAPITAL STRUCTURE

8.1 Investment Level

Infrastructure capital is deployed at **SPV level**, not HoldCo.

8.2 Capital Stack

- Equity: initial deployment funding
- Structured capital: introduced post-stabilisation
- Debt: applied to mature, cashflow-generating assets

8.3 Use of Funds

Capital is used for:

- Infrastructure deployment
- Site preparation
- Electrical integration
- Compute installation

9. DEPLOYMENT PIPELINE

Initial focus areas:

- Eskom-linked generation nodes
- Industrial energy hubs
- Renewable-integrated sites

Example Deployment Path

- Phase 1: 10–20MW
- Phase 2: Scale to 100MW+
- Phase 3: Multi-site replication

10. WHY INFRASTRUCTURE CAPITAL ENGAGES NOW

BitMach enables earlier entry relative to traditional infrastructure due to:

10.1 Immediate Revenue Generation

Assets begin producing output within weeks.

10.2 Defined Asset Boundaries

Each deployment is measurable and ring-fenced.

10.3 Strong System Demand

- Grid requires flexibility
- Energy markets require balancing
- Compute demand is expanding

10.4 Societal Impact

- Grid stabilisation
- Renewable enablement
- Industrial support
- Economic activity creation

11. STRATEGIC CONTEXT: INFRASTRUCTURE EVOLUTION

Globally:

- Energy and compute infrastructure are converging
- High-performance compute and energy systems share identical physical requirements
- Infrastructure operators are increasingly integrating generation, load and compute

The boundary between energy infrastructure and digital infrastructure is dissolving.
BitMach operates at this convergence layer.

12. WHY BITMACH?

BitMach is positioned as:

- A coordination layer in modern energy systems
- A real-time energy monetisation platform
- A scalable infrastructure deployment model

It does not compete with:

- Power producers
- Data centres
- Energy traders

It enables:

- More efficient energy utilisation
- Stable grid operation
- Immediate economic output from power

13. INVESTMENT PROPOSITION

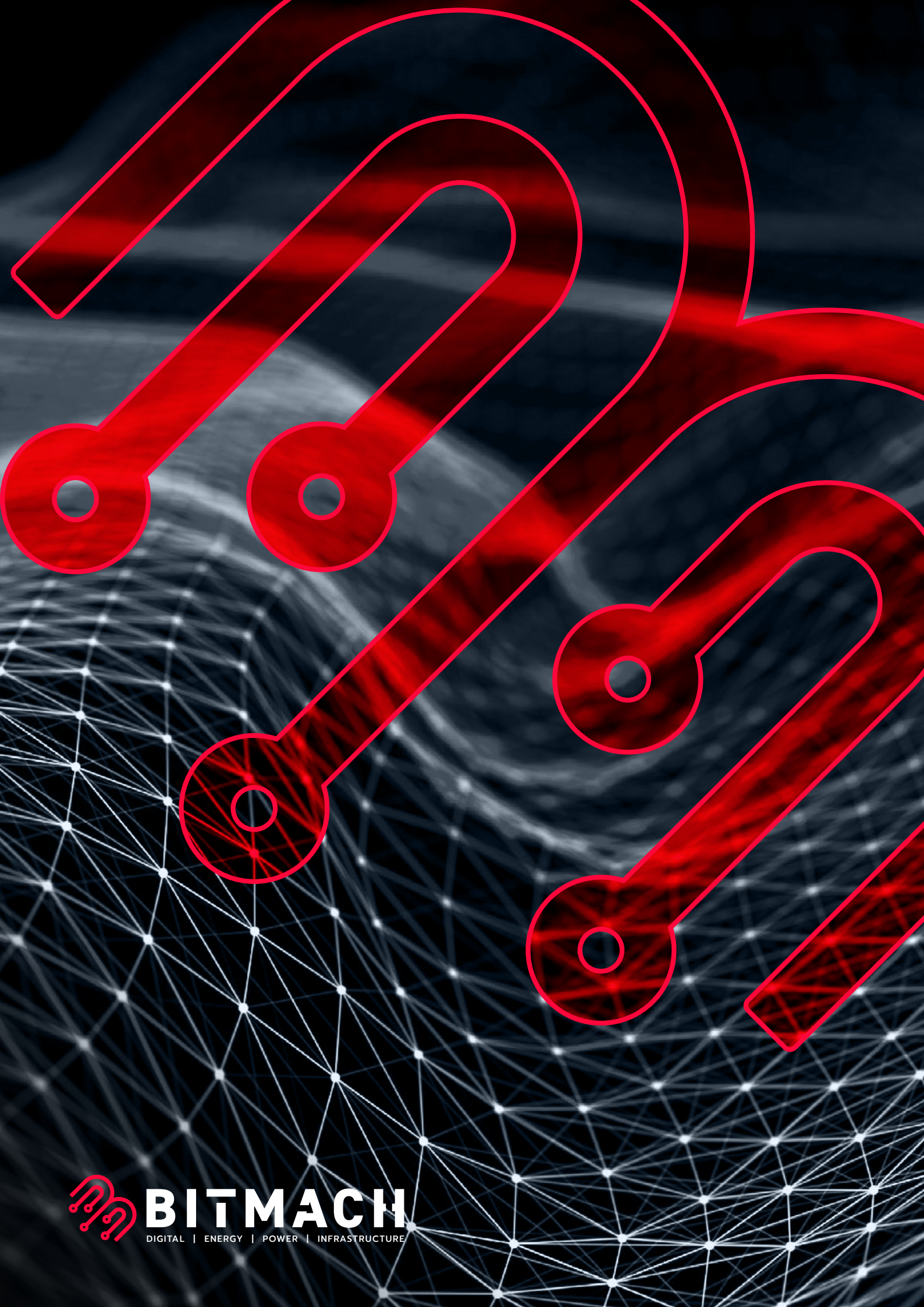
Infrastructure investors gain exposure to:

- Energy-linked infrastructure assets
- Immediate yield characteristics
- Scalable deployment platform
- Real-time performance transparency

14. CLOSING STATEMENT

As electricity markets become dynamic, decentralised and constrained: Value shifts from generation to coordination.

BitMach operates at that point of coordination, converting energy into continuous economic output while supporting system stability.


BITMACH
DIGITAL | ENERGY | POWER | INFRASTRUCTURE